

of 4.5 per cent by FY26. Also, the deficit is being pegged at 5.9 per cent of GDP for FY24 and gross market borrowings at ₹15.54 lakh crore for the fiscal.

The government's borrowings widen the size of the fiscal deficit and fuel inflation, which leads to higher interest rates. Further, the share of interest payments—close to one-fourth of the government's total expenditure in the annual budget—has been increasing steadily in recent years. "A higher share of interest payments limits the government's ability to spend on important priorities, such as infrastructure, education and healthcare, among others. It also makes the government vulnerable to rising interest rates," says a banker, requesting anonymity.

22 | The Fitch report states that there are past examples of governments—whose bonds form a part of benchmark indices—pursuing economic policies that had clear adverse effects on the confidence of foreign investors. "We do not believe that inclusion in the JPMorgan GBI-EM index will significantly affect India's fiscal policy approach," it notes.

But market participants are also anticipating a freeing up of domestic capital as a result of the expected inflows. They suggest, the move would mean that \$25-30 billion worth of domestic capital would now be available for the corporate bond market. But some experts suggest that the corporate bond market is available only to high-rated corporations.

As other major bond index providers like Bloomberg and FTSE Russell consider including Indian bonds in the future, it is crucial to carefully monitor JPMorgan's initial inclusion, and learn from the experience as Indian bonds embark on a new chapter. **BT**

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SALES PITCH Uniqlo recently opened its first store in Mumbai, its second biggest online market after Delhi

RETAIL

India Bet

After entering the Mumbai market, Uniqlo plans to expand further and price its products more competitively

BY PRERNA LIDHOO

► JAPANESE RETAIL BRAND

Uniqlo has finally made a foray into Mumbai, the brand's second largest online market after Delhi. The company said it aims to become the No. 1 brand in India. "This is not about sales or profit. It means being a brand that's trusted by people all over India," says Uniqlo India CEO Tomohiko Sei.

Having launched its first store in India in 2019, Uniqlo has seen its revenues jump nearly 69 per cent year-on-year to ₹624.6 crore in FY23, while its net profit rose to ₹68.38 crore in FY23, up from ₹21.4 crore in FY22.

Sei says the firm could now look at other markets like Pune. The company, which has expanded to 10 stores in India, said it's looking to make its products more affordable for this market, where it competes with the likes

of H&M, Zara, and Mango.

"In India, the price versus value [proposition] is very important and our prices are not so low. I believe our value is more," Sei says. "We will look at affordable prices in the future. There's strong competition in India from local brands as well as other brands," he adds.

It aims to promote the LifeWear concept—defined by the firm as everyday clothing with a sense of beauty—in India, imbibing Japanese values of simplicity, quality and longevity. Plus, it is looking to introduce two of its technologies—AIRism, which absorbs water vapour from the body, and HEATTECH, a line of thermal wear.

For now, Uniqlo's India strategy appears well set. **BT**

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